



NITI Aayog

Strategy for

New India @ 75

STRATEGY FOR NEW INDIA @ 75

MODULE - 17

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LOGISTICS

OBJECTIVES



- Achieve multi-modal movement of cargo on par with global logistics standards.
- Reduce the logistics cost to less than 10% of GDP from the current level of 14%.
- Improve logistics skilling and increase jobs in the sector to 40 million by 2022-23 from about 22 million in 2016.
- As per the approved National Trade Facilitation Action Plan, reduce border compliance time to 24 hours for exports and to 48 hours for imports by 2020.

LOGISTICS COSTS

- ◆ These are the costs associated with taking a product from the factory to the consumer.
- ◆ Logistics costs relate to the charges for various transportation methods, including train travel, trucks, air travel and ocean transport.
- ◆ Additional logistics costs include fuel, warehousing space, packaging, security, materials handling etc.



SOME ELEMENTS OF LOGISTICS INFRASTRUCTURE



TRANSPORT



WAREHOUSING



PORTS

Space

17

LOGISTICS

PRESENT SCENARIO



- Logistics sector employs more than 22 million people.
- Between 2011-12 and 2015-16, the logistics sector's value has grown at a Compound Annual Growth Rate (CAGR) of 7.8%.
- Existing logistics costs in India are high relative to other countries.
- Logistics costs are around 14% of India's GDP relative to 9% of GDP in USA, 11% in Japan, 12% in Korea.
- 10% decrease in indirect logistics cost has the potential to increase exports by 5-8%.

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LOGISTICS

PRESENT SCENARIO

LOGISTICS IS IN THE
INFRASTRUCTURE SUBSECTOR

- Recognizing the importance for exports and growth, the Govt. included logistics in the harmonized master list of the infrastructure subsector.
- This will ease access to credit and simplify the approvals process for building infrastructure in the sector.
- Govt. also created Logistics Division in the Ministry of Commerce and Industry that will focus on the integrated development of the logistics sector, improving procedures and introducing new technologies.

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LOGISTICS

PRESENT SCENARIO

POOR INFRASTRUCTURE IS
THE AREA OF CONCERN!



WORLD
ECONOMIC
FORUM

The Global
Competitiveness Report



THE WORLD BANK
IBRD • IDA

DOING BUSINESS

- About 35% of export-import cargo originates in or is destined for hinterland locations.
- The **World Economic Forum's Global Competitiveness Index (GCI)** ranked India 66th out of 137 countries, in infrastructure in 2017-18.
- The **World Bank's Ease of Doing Business** ranks India 146 out of 190 countries in "Trading Across Borders".

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LOGISTICS

CONSTRAINTS

1

COST OF LOGISTICS



It remains high due to challenges in ...

- Accessing finance
- Underdeveloped infrastructure
- Poor connectivity
- Unfavorable modal mix.



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LOGISTICS

CONSTRAINTS

2

POOR COORDINATION DUE TO MULTIPLE
STAKEHOLDERS' INVOLVEMENT

- Logistics has four key components that account for the majority of the sector:
 - Transport
 - Warehousing
 - Freight forwarding
 - Value added logistics.
- These falls under different segments of regulatory oversight and this adds complexity to the system.
- The presence of multiple agencies often leads to duplicate processes and there is non-uniform documentation across the States.

- While the recently implemented GST has simplified documentation requirements across States to some extent, but, there is still scope for improvement.
- Countries with multiple agencies in logistics have reduced efficiency, coordination and competitiveness.



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LOGISTICS

CONSTRAINTS

**3 WAREHOUSING CAPACITY AND
FRAGMENTED STRUCTURE**

- India's warehousing capacity is 109 million tonnes, private sector makes up less than 20%.
- There is low value addition in the warehouse sector.
- Handling and warehousing facilities are largely un-mechanized with manual loading, unloading and handling.

**4 SEAMLESS MOVEMENT OF GOODS
ACROSS MODES**

- There is lack of interoperable technology.
- The movement of goods across modes suffers from the absence of last mile connectivity and infrastructure.
- Poor road and rail connectivity to most non-major ports leads to delays in travel time.
- The share of cargo moving through coastal shipping is small, primarily due to the lack of infrastructure and connectivity for feeder ships that operate between small container ports.

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LOGISTICS

CONSTRAINTS

5

**COMPETITION AND
UNDERUTILIZED CAPACITY**

- There is no level playing field as the public sector is provided benefits that are not available to private players, such as container train operators or foreign vessel owners.
- This leads to limited competition, capacity underutilization and other inefficiencies.



6

**INTEROPERABLE TECHNOLOGY
ACROSS MODES**

- There is lack of interoperability of software systems used by the authorities governing different modes of transport.
- It leads to inefficiencies.
- It increases transit time.
- There is a need for manual intervention when switching modes.



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LOGISTICS

CONSTRAINTS

7

BORDER COMPLIANCE AND
DOCUMENT PROCESSING TIME



- India's average border compliance time for customs regulations and mandatory inspections for exports is 106 hours and for imports 264 hours.
- India's document processing time is an average of 38 hours for exports and 61 hours for imports.

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LOGISTICS

WAY FORWARD

1

RATIONALIZE TARIFFS AND DETERMINE PRICES

- Tariff policies are to be rationalized.
- The pricing structure should be in an efficient manner across different modes.
- Interoperability is the need of the hour.



2

CREATE A BODY THAT MAINTAINS REPOSITORY OF ALL TRANSPORT DATA

- There is a need for a separate body or institute, which will be responsible for acquiring, managing and disseminating data to internal stakeholders.
- The proposed institute can also conduct robust analysis of the data, which it should make publicly available.
- This body can be a part of the logistics portal that is under development.

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LOGISTICS

WAY FORWARD

3

ENHANCE EFFICIENCY OF WAREHOUSES AND THEIR OPERATION, ESPECIALLY TO OPTIMIZE FOOD STORAGE

Existing warehouses can be converted into multi-storeyed ones to store multiple commodities at the same time.

- Create vertical silos for food storage and transport food grains by specialized wagons.
- We could operate smaller silos at the mandi level connected to mother silos that have bulk handling and rail connectivity.
- Specialized wagons with top loading and bottom discharge functions should be made available for handling grains.
- This will reduce food losses.

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LOGISTICS

WAY FORWARD

4

**INCREASE EMPHASIS ON
MULTIMODAL SOLUTIONS**

- Setting up multimodal logistics parks will help address issues related to underdeveloped infrastructure or unfavourable modal mix and connectivity.
- Govt. already identified 24 logistics parks under the Bharatmala and seven under Sagarmala.
- These may be completed by 2022-23.
- They should reflect best practices from global logistics parks with respect to comprehensive development and synergies across modes of transport.

5

**ALLOW PRIVATE PLAYERS TO
OPERATE IN CONCOR AND
PORT TERMINALS**

- There is no level playing field for private Container Train Operators vis-a-vis the Container Corporation of India (CONCOR).
- Provide shared space at CONCOR terminals to private CTOs will help utilize the infrastructure better.
- Similarly, opening up of the port terminals to private players at a fee will enhance capacity utilization.

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LOGISTICS

WAY FORWARD

6 INCREASE TECHNOLOGY USE TO ENHANCE LOGISTICS

- Integrate technologies across modes of transport by developing an Integrated Information Technology platform.
- Increasing the interoperability of technology across modes by implementing container tracking systems, Radio Frequency Identification etc.
- This will reduce delays and enhance efficiency.

7 SHIFT TOWARDS INTERNATIONAL STANDARDS FOR TRANSPORT EQUIPMENT AND SOFTWARE

To increase efficiency and ensure compatibility, we should gradually adopt international standards, especially in operations and adopt global benchmarking on unit load devices such as containers.



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